

1. PROGRAMME TYPE AND OFFICIAL ANCHOR

- **Programme Designation:** Officially launched as the **World's Largest Grain Storage Plan in the Cooperative Sector**.
- **Nodal Ministry:** Headed and driven centrally by the **Ministry of Cooperation**, Government of India.
- **National Implementing Agency:** The execution and ground monitoring are spearheaded by the **National Cooperative Development Corporation (NCDC)**.
- **Sub-National Institutional Framework:** Orchestrated via dedicated **State Cooperative Development Committees (SCDCs)** and **District Cooperative Development Committees (DCDCs)**.

- **Strategic Institutional Alliance:**

Implemented with technical and financial synchronization from **NABARD**, **Food Corporation of India (FCI)**, and State Food Departments.

2. PROGRAMME PURPOSE AND CORE OBJECTIVES

- **Decentralized Infrastructure Creation:**

Establishing scientific warehouses, custom hiring centers, processing facilities, and fair price shops directly at the grassroots level.

- **Multifunctional PACS Transformation:**

Upgrading Primary Agricultural Credit Societies (PACS) from basic short-term credit providers into robust rural multi-service business hubs.

- **Mitigation of Post-Harvest Losses:**

Restricting substantial grain losses caused

by dampness, open-plinth exposure, and rodent damage through modern scientific silos and godowns.

- **Eradication of Distress Sales:** Providing local storage leverage so farmers can store their produce post-harvest and offload grains exclusively during favorable price windows.

- **Supply Chain Optimization:** Cutting national food supply freight costs by preventing long circular transit paths between distant state warehouses and local Fair Price Shops.

3. CORE INFRASTRUCTURE SUPPORTED

- **Decentralized Godowns:** Multi-ton capacity storage sheds or localized steel silos tailored for safe grain preservation.

- **Custom Hiring Centers (CHCs):** Machinery hubs enabling smallholders to rent modern farm tools like tractors, seed drills, and harvesters.
- **Primary Processing Units:** Mini-mills equipped for grain cleaning, sorting, grading, oil extraction, and pulses processing at the farm gate.
- **Fair Price Shops (FPS):** Institutional storefronts dedicated to localized distribution of food grains under the National Food Security Act.
- **Ancillary Facilities:** Capital support for supporting components like internal approach roads, weighbridges, and secure boundary walls.

4. ELIGIBILITY CRITERIA FOR COOPERATIVES

- **Administrative Clearance:** Cooperatives or PACS must be verified, vetted, and approved by their respective **District Cooperative Development Committee (DCDC)**.
- **Financial Viability:** The participating society must maintain a **positive net worth** during the immediate last two consecutive financial years.
- **Operational Profitability:** The cooperative should ideally be functional and profitable for the last three consecutive financial years.
- **Clean Credit Record:** The applicant cooperative society must **not be a bank defaulter** with any financial institution.
- **Minimum Target Baseline:** Proposed grain godown infrastructure projects must target a minimum capacity baseline,

preferably **500 MT or above.**

5. VALUE-POINT BENEFITS AND INCENTIVES

- **Reduced Margin Contribution:** The mandatory margin money contribution required from PACS is slashed from **20% down to just 10%.**
- **Enhanced Capital Subsidy:** Capital subsidies via the Agricultural Marketing Infrastructure (AMI) scheme have been increased from **25% to 33.33%** for plain terrains.
- **Ancillary Infrastructure Funding:** Provision of an **additional subsidy of 1/3rd (one-third)** of the primary admissible subsidy solely for boundary walls and roads.
- **Unprecedented Interest Subvention:** Combined with the 3% Agriculture

Infrastructure Fund (AIF) subvention, the net effective loan interest rate for PACS hits a low of **1%** via NABARD refinance.

- **Long-Term Revenue Assurance:** The Food Corporation of India (FCI) guarantees a secure **9-year warehouse hiring lease agreement** to ensure steady rental revenues.

6. STEP-BY-STEP APPLICATION AND IMPLEMENTATION PROCEDURE

- **Step 1: PACS Identification:** The State Cooperative Department scans, validates, and identifies financially viable PACS possessing adequate encumbrance-free land.

- **Step 2: DCDC Approval:** The list of selected grassroots societies is presented

to the District Cooperative Development Committee (DCDC) for statutory evaluation and formal approval.

- **Step 3: Procurement Hiring Assurance:** Central or State agencies like **FCI, NAFED, or NCCF** inspect the location maps and issue a **Hiring Assurance Letter** to guarantee long-term asset utilization.

- **Step 4: DPR Formulation:** A site-specific **Detailed Project Report (DPR)** is drafted, laying out physical specifications, engineering designs, and financial layouts.

- **Step 5: Financial Sourcing & Convergence:** The cooperative moves loan and subsidy dossiers under converged frameworks (like AIF and AMI) to the **District Central Cooperative Bank (DCCB)**.

- **Step 6: Appraisal & Loan Sanction:** The DCCB appraises the DPR, validates the economic security metrics, and formally sanctions the debt-funding portion.
- **Step 7: Project Grounding & Rapid Construction:** The project transitions into construction, which can be executed directly by the PACS or designated state agencies within a **strict 6-month timeline**.

7. MANDATORY DOCUMENTS AND DATA REQUIRED

- **Cooperative Audited Records:** Complete audited balance sheets, profit & loss parameters, and compliance registers for the immediate **past 3 financial years**.
- **Land Title Certificates:** Registered land ownership title deeds, possession certificates, and clear mutation data

indicating suitability for storage architecture.

- **Detailed Project Report (DPR):**

Technoeconomic viability layouts mapping construction engineering estimates, layout maps, and component configurations.

- **Statutory Resolutions:** Formal written resolution passed by the PACS General Body or Managing Committee approving the capital investment and debt intake.

- **Agency Clearances:** Official **Hiring Assurance Letters** issued by the Food Corporation of India (FCI) or associated state procurement corporations.

8. INTEGRATED CONVERGENCE SCHEMES ARCHITECTURE

- **Agriculture Infrastructure Fund (AIF):** Delivers primary capital debt financing accompanied by a **3% interest subvention**

and robust credit guarantee coverage.

- **Agricultural Marketing Infrastructure (AMI):** Routes substantial back-ended capital investment subsidies tailored directly for cooperative storage construction.
- **Sub-Mission on Agricultural Mechanization (SMAM):** Infuses secondary financial grants specifically meant for purchasing farm machinery under the Custom Hiring Centers.
- **PM Formalisation of Micro Food Processing Enterprises (PMFME):** Funnels targeted technical and financial backing to set up the localized primary processing units.

9. CRITICAL QUESTIONS FOR SOCIAL IMPACT ASSESSMENT (SIA)

What is the grain storage plan?

It is a multi-ministry flagship convergence framework designed to establish a massive network of decentralized, village-level scientific storage networks across India.

Can PACS build storage?

Yes, viable PACS with suitable land holdings can build decentralized scientific warehouses directly or through designated state construction execution bodies.

What infrastructure is supported?

The scope includes high-grade storage godowns, Custom Hiring Centers for machinery, primary milling/sorting equipment, and community Fair Price Shops.

How is a DPR prepared?

A site-specific DPR is compiled based on standard designs, containing structural layouts, cost estimates at revised regional benchmarks, and project feasibility metrics.